

4.2.4 Financial markets and monetary policy

4.2.4.1 The structure of financial markets and financial assets

Content	Additional information
• The characteristics and functions of money. • Definitions of the money supply and the distinction between narrow money and broad money. • The difference between the money market, the capital market and the foreign exchange market. • The role of financial markets in the wider economy. • The difference between debt and equity. • Why there is an inverse relationship between market interest rates and bond prices.	Students should know that ways in which firms raise finance include: issuing shares, issuing corporate bonds and borrowing from a bank. Students should know the terms coupon and maturity in relation to government bonds and be able to calculate the yield on a government bond.

4.2.4.2 Commercial banks and investment banks

Content	Additional information
• The difference between a commercial bank and an investment bank. • The main functions of a commercial bank. • The structure of a commercial bank's balance sheet. • The objectives of a commercial bank, ie liquidity, profitability and security. • Potential conflicts between these objectives. • How banks create credit.	Students should be aware of the differences between a commercial bank and an investment bank but they do not need a detailed knowledge of the activities and functions of an investment bank. They should also be aware that many banks are engaged in both investment banking and commercial banking activities and that this may increase systemic risk. Students should be aware that there are other institutions that operate in financial markets but they do not need to know about their activities or their functions. Students will not be required to calculate the credit multiplier.

4.2.4.3 Central banks and monetary policy

Content	Additional information
• The main functions of a central bank. • That monetary policy involves the central bank taking action to influence interest rates, the supply of money and credit and the exchange rate. • The current objectives of monetary policy set by the government. • The role of the Monetary Policy Committee of the Bank of England (MPC) and how it uses changes in bank rate to try to achieve the objectives for monetary policy, including the government's target rate of inflation. • The factors considered by the MPC when setting the bank rate. • How changes in the exchange rate affect aggregate demand and the various macroeconomic policy objectives. • The monetary policy transmission mechanism, including the relationship between changes in interest rates and the exchange rate. • How the Bank of England can influence the growth of the money supply.	Students should understand current and recent instruments of monetary policy such as: quantitative easing, Funding for Lending and forward guidance. Students should understand how the MPC of the Bank of England uses changes in bank rate to try to achieve the objectives for monetary policy, including the government's target rate of inflation.

4.2.4.4 The regulation of the financial system

Content	Additional information
• Regulation of the financial system in the UK, eg the role of the Bank of England, the Prudential Regulation Authority (PRA), the Financial Policy Committee (FPC) and the Financial Conduct Authority (FCA). • Why a bank might fail, including the risks involved in lending long term and borrowing short term. • Liquidity ratios and capital ratios and how they affect the stability of a financial institution. • Moral hazard. • Systemic risk and the impact of problems that arise in financial markets upon the real economy.	An in-depth knowledge of the PRA, FPC and the FCA is not expected but students should appreciate their role in trying to maintain the stability of the financial system. Students will not be required to calculate liquidity or capital ratios.